

South African Regulatory Requirements for LemoTick Investment Platform

Executive Summary

This document outlines the comprehensive regulatory requirements for transforming LemoTick from an educational trading bot into a commercial investment platform in South Africa. The regulatory landscape is governed by multiple acts and requires careful compliance with the Financial Sector Conduct Authority (FSCA).

Primary Regulatory Framework

1. Financial Sector Conduct Authority (FSCA)

- **Main Regulator:** Financial services licensing and oversight
- **Website:** <https://www.fsc.co.za>
- **Contact:** +27 12 428 8000

2. Key Regulatory Acts

- **FAIS Act:** Financial Advisory and Intermediary Services Act
 - **FICA:** Financial Intelligence Centre Act (AML/CTF)
 - **POPIA:** Protection of Personal Information Act
 - **COFI Bill:** Conduct of Financial Institutions (upcoming)
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Required Licenses for LemoTick

Primary License: FSP (Financial Services Provider)

Category II FSP License (Recommended for LemoTick)

- **Purpose:** Discretionary portfolio management
- **Scope:** Automated trading with client fund discretion
- **Requirements:** Most comprehensive compliance obligations

Alternative Categories:

- **Category I:** Advisory services only (no discretion)
 - **Category IIA:** Hedge fund management
 - **Category III:** Administrative services
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FSP License Application Requirements

1. Company Structure Requirements

Minimum Personnel:

- **Shareholders:** At least 1 shareholder
- **Directors:** At least 1 director
- **Key Individual:** 1 South African resident (mandatory)
- **Compliance Officer:** 1 independent compliance officer

Key Individual Requirements:

- **Residency:** Must be South African resident
- **Qualifications:** Relevant financial services experience
- **Examinations:** Must pass RE1 and RE5 regulatory exams
- **Fit and Proper:** Honesty, integrity, competence assessment

2. Capital Requirements

Capital Adequacy:

- **Minimum:** Liquid assets 4/52 weeks of annual expenditure
- **Calculation:** Based on operating expenses and liabilities
- **Maintenance:** Ongoing capital adequacy monitoring required
- **Reporting:** Quarterly capital adequacy reports to FSCA

Professional Indemnity Insurance:

- **Coverage:** Professional negligence claims
- **Amount:** Varies by business size and risk profile
- **Provider:** Must be FSCA-approved insurer
- **Renewal:** Annual renewal required

3. Regulatory Examinations

Required Exams:

- **RE1 (Regulatory Exam 1):** Regulatory framework and responsibilities
- **RE5 (Regulatory Exam 5):** Financial services representatives
- **Passing Score:** 65% minimum
- **Validity:** 3 years (renewal required)

Exam Content:

- **FAIS Act:** Financial Advisory and Intermediary Services
- **FICA:** Anti-money laundering legislation
- **FSCA Rules:** Conduct of business rules
- **Ethics:** Professional conduct and ethics

Anti-Money Laundering (FICA) Compliance

Critical Requirements (FATF Grey List Impact)

1. Accountable Institution Status

- **Classification:** FSPs are accountable institutions under FICA
- **Obligations:** Enhanced AML/CTF requirements
- **Penalties:** Severe penalties for non-compliance

2. Client Due Diligence (CDD)

- **KYC Procedures:** Know Your Customer requirements
- **Identity Verification:** Government-issued ID verification
- **Address Verification:** Proof of residence
- **Beneficial Ownership:** Ultimate beneficial owner identification

3. Enhanced Due Diligence (EDD)

- **High-Risk Clients:** Politically exposed persons (PEPs)
- **High-Risk Countries:** Enhanced screening for grey-listed countries
- **Large Transactions:** Additional verification for large amounts
- **Ongoing Monitoring:** Continuous client risk assessment

4. Reporting Obligations

- **Suspicious Transaction Reports (STRs):** Report to FIC
- **Cash Transaction Reports (CTRs):** Large cash transactions
- **Terrorist Financing Reports:** Terrorist financing suspicions
- **Record Keeping:** 5-year record retention

5. AML/CTF Policies Required

- **Risk Assessment:** Comprehensive risk assessment framework
- **Training Programs:** Staff AML/CTF training
- **Monitoring Systems:** Transaction monitoring systems
- **Reporting Procedures:** Internal reporting procedures

Data Protection (POPIA) Compliance

1. Information Officer Appointment

- **Mandatory:** Appoint Information Officer
- **Responsibilities:** POPIA compliance oversight
- **Qualifications:** Relevant data protection knowledge

- **Training:** POPIA-specific training required

2. Data Processing Requirements

Lawful Processing:

- **Consent:** Explicit client consent for data processing
- **Purpose Limitation:** Data used only for specified purposes
- **Data Minimization:** Collect only necessary data
- **Accuracy:** Ensure data accuracy and currency

Data Security:

- **Technical Measures:** Encryption, access controls
- **Organizational Measures:** Staff training, policies
- **Physical Security:** Secure data storage facilities
- **Breach Response:** Data breach notification procedures

3. Data Subject Rights

- **Access Rights:** Clients can access their data
- **Correction Rights:** Clients can correct inaccurate data
- **Deletion Rights:** Right to be forgotten (with limitations)
- **Portability:** Data portability rights

4. Required Documentation

- **Privacy Policy:** Comprehensive privacy policy
- **Data Processing Agreements:** Client data processing agreements
- **Consent Forms:** Explicit consent collection
- **Breach Response Plan:** Data breach response procedures

Tax and Financial Reporting

1. SARS Registration Requirements

Tax Registrations:

- **Income Tax:** Corporate income tax (28% rate)
- **VAT:** Value-Added Tax (15% rate) if applicable
- **PAYE:** Pay-As-You-Earn for employees
- **UIF:** Unemployment Insurance Fund

Tax Compliance:

- **Annual Returns:** Annual tax returns
- **Provisional Tax:** Bi-annual provisional tax payments

- **VAT Returns:** Monthly/quarterly VAT returns
- **Record Keeping:** 5-year tax record retention

2. FSCA Financial Reporting

Annual Requirements:

- **Audited Financial Statements:** Annual audited statements
- **Compliance Reports:** Annual compliance reports
- **Capital Adequacy Reports:** Quarterly capital adequacy
- **Client Money Reports:** Client fund segregation reports

Ongoing Reporting:

- **Quarterly Returns:** Quarterly regulatory returns
- **Event Reporting:** Significant event notifications
- **Change Notifications:** Business change notifications
- **Compliance Monitoring:** Ongoing compliance monitoring

Operational Requirements

1. Physical Presence Requirements

Local Operations:

- **Registered Office:** Physical office in South Africa
- **Local Staff:** Qualified local personnel
- **Decision Making:** Investment decisions from local office
- **Client Meetings:** Local client meeting facilities

Infrastructure Requirements:

- **IT Systems:** Robust trading and compliance systems
- **Data Security:** Secure data storage and transmission
- **Backup Systems:** Disaster recovery procedures
- **Monitoring Systems:** Real-time monitoring capabilities

2. Governance Requirements

Board Structure:

- **Independent Directors:** Independent board members
- **Risk Committee:** Risk management committee
- **Audit Committee:** Audit and compliance committee
- **Remuneration Committee:** Executive remuneration oversight

Internal Controls:

- **Risk Management:** Comprehensive risk management framework
 - **Internal Audit:** Independent internal audit function
 - **Compliance Monitoring:** Ongoing compliance monitoring
 - **Whistleblowing:** Internal whistleblowing procedures
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Application Process Timeline

Phase 1: Preparation (3-6 months)

- **Legal Consultation:** Engage financial law attorney
- **Business Plan:** Comprehensive business plan development
- **Compliance Framework:** Develop compliance policies
- **Personnel Recruitment:** Hire Key Individual and Compliance Officer

Phase 2: Application (3-6 months)

- **Document Preparation:** Compile all required documents
- **Application Submission:** Submit to FSCA
- **FSCA Review:** FSCA assessment and interviews
- **Additional Information:** Respond to FSCA queries

Phase 3: Approval (1-3 months)

- **Final Review:** FSCA final assessment
 - **License Issuance:** FSP license granted
 - **Operational Setup:** Final operational preparations
 - **Compliance Implementation:** Full compliance implementation
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Estimated Costs

Legal and Professional Fees

- **Legal Consultation:** R200,000 - R500,000
- **Application Preparation:** R100,000 - R200,000
- **Ongoing Legal Support:** R50,000 - R100,000/month

Regulatory Fees

- **FSP Application:** R15,000 - R25,000
- **Regulatory Exams:** R2,000 - R5,000 per exam
- **Annual License Fees:** R10,000 - R20,000/year

Operational Costs

- **Professional Indemnity Insurance:** R50,000 - R200,000/year
- **Compliance Systems:** R100,000 - R500,000
- **Staff Costs:** R500,000 - R2,000,000/year
- **Office and Infrastructure:** R200,000 - R500,000/year

Total Estimated Setup Cost: R1,000,000 - R3,000,000

Critical Risk Factors

1. Regulatory Risks

- **FATF Grey List:** Enhanced AML scrutiny
- **COFI Bill:** Upcoming regulatory changes
- **FSCA Enforcement:** Strict enforcement of regulations
- **Penalty Risk:** Severe penalties for non-compliance

2. Operational Risks

- **Capital Requirements:** Ongoing capital adequacy
- **Compliance Costs:** High ongoing compliance costs
- **Personnel Requirements:** Qualified personnel scarcity
- **Technology Requirements:** Robust IT infrastructure needs

3. Business Risks

- **Market Competition:** Established competitors
 - **Client Acquisition:** Building client base
 - **Regulatory Changes:** Ongoing regulatory evolution
 - **Economic Factors:** Economic impact on investment demand
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Recommended Action Plan

Immediate Actions (Month 1-2)

1. **Engage Financial Law Attorney** (Priority #1)
2. **Research FSP License Requirements** in detail
3. **Develop Comprehensive Business Plan**
4. **Identify Key Individual Candidates**

Short-term Actions (Month 3-6)

1. **Register Company with CIPC**
2. **Hire Key Individual and Compliance Officer**

3. **Prepare FSP License Application**
4. **Develop Compliance Framework**

Medium-term Actions (Month 6-12)

1. **Submit FSP License Application**
2. **Implement IT Infrastructure**
3. **Develop Client Management Systems**
4. **Prepare for FSCA Assessment**

Long-term Actions (Month 12+)

1. **Obtain FSP License**
2. **Launch Investment Platform**
3. **Implement Ongoing Compliance**
4. **Scale Operations**

Key Contacts and Resources

Regulatory Bodies

- **FSCA:** <https://www.fsca.co.za> | +27 12 428 8000
- **CIPC:** <https://www.cipc.co.za> | +27 86 100 2472
- **SARS:** <https://www.sars.gov.za> | +27 80 002 7277
- **FIC:** <https://www.fic.gov.za> | +27 12 641 6000

Professional Services

- **Financial Law Attorneys:** Specialized in FSCA regulations
- **Compliance Consultants:** FSP license application specialists
- **Tax Advisors:** SARS compliance specialists
- **IT Security Consultants:** POPIA compliance specialists

Document Checklist

FSP License Application Documents

- ☐ Company registration documents (CIPC)
- ☐ Business plan and financial projections
- ☐ Compliance manual and procedures
- ☐ Key Individual qualifications and experience
- ☐ Compliance Officer appointment
- ☐ Professional indemnity insurance
- ☐ Capital adequacy calculations
- ☐ AML/CTF policies and procedures

- ☐ POPIA compliance documentation
- ☐ IT security and data protection measures

Ongoing Compliance Documents

- ☐ Annual audited financial statements
- ☐ Quarterly regulatory returns
- ☐ AML/CTF training records
- ☐ Client due diligence records
- ☐ Suspicious transaction reports
- ☐ Data breach incident reports
- ☐ Compliance monitoring reports
- ☐ Risk assessment reports

Document Version: 1.0

Last Updated: December 2024

Next Review: March 2025

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Approved By: [To be completed]

This document serves as a comprehensive guide for LemoTick's regulatory compliance requirements in South Africa. It should be reviewed regularly and updated as regulations evolve. Professional legal and compliance advice should be sought before making any regulatory decisions.